

STATE OF NEW YORK

8513--A

Cal. No. 900

2025-2026 Regular Sessions

IN SENATE

September 24, 2025

Introduced by Sen. WEBB -- read twice and ordered printed, and when printed to be committed to the Committee on Rules -- recommitted to the Committee on Local Government in accordance with Senate Rule 6, sec. 8 -- reported favorably from said committee, ordered to first report, amended on first report, ordered to a second report and ordered reprinted, retaining its place in the order of second report

AN ACT to amend the general municipal law, in relation to permitting the Johnson City central school district to create an insurance reserve fund

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Paragraph (a) of subdivision 2 of section 6-n of the gener-
2 al municipal law, as separately amended by chapters 486, 515 and 525 of
3 the laws of 2024, is amended to read as follows:

4 (a) The governing board of any municipal corporation may establish a
5 reserve fund to be known as the insurance reserve fund. Upon the
6 creation of the fund, the municipality may make expenditures from the
7 fund for any loss, claim, action or judgment for which the municipal
8 corporation is authorized or required to purchase or maintain insurance,
9 except those kinds of risks for which insurance is authorized pursuant
10 to paragraph one, two, three, fifteen, sixteen, seventeen, eighteen,
11 twenty-two or twenty-three of subsection (a) of section one thousand one
12 hundred thirteen of the insurance law, or for payments in lieu of
13 contributions under article eighteen of the labor law; provided however,
14 that no municipality shall make an expenditure from such fund for any
15 loss, claim, action or judgment for which the municipal corporation has
16 established a reserve fund under any other provision of law; provided,
17 further that the Scarsdale union free school district, the Mamaroneck
18 union free school district, the Minisink Valley central school district,
19 the Vernon Verona Sherrill central school district, the Ithaca city
20 school district, the Kenmore-Town of Tonawanda union free school

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 district, the Bedford central school district, the Grand Island central
2 school district, the Tonawanda city school district, the enlarged city
3 school district of Middletown, the Frontier central school district, the
4 Owego Apalachin central school district, the Maine-Endwell central
5 school district, the Binghamton city school district, the Candor central
6 school district, the Cleveland Hill union free school district, the
7 Depew union free school district, the Iroquois central school district,
8 the Liverpool central school district, the Auburn enlarged city school
9 district, the Carmel central school district, the Clarence central
10 school district, the Fulton city school district, [~~and~~] the Canastota
11 central school district, and the Johnson City central school district
12 may establish insurance reserve funds in compliance with this section
13 and article seventy-four of the education law and such school districts
14 may make expenditures in compliance with this section and article seven-
15 ty-four of the education law from such reserve fund for any loss, claim,
16 action or judgment for which the school districts are authorized or
17 required to purchase or maintain insurance for the kinds of risks for
18 which insurance is authorized pursuant to paragraph three of subsection
19 (a) of section one thousand one hundred thirteen of the insurance law.
20 § 2. This act shall take effect immediately.